

 Masterclass Day 22

Candlestick Basics

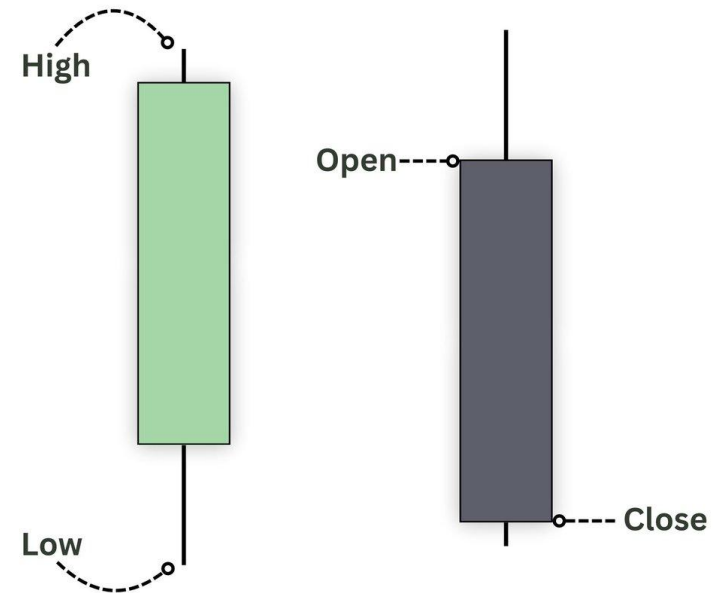
Decoding price action: Reading the emotional battleground of buyers and sellers through charts.

The Four Pillars: **OHLC Anatomy**

Every single Japanese candlestick tells a complete story of price movement over a specific timeframe (e.g., 1 day or 1 hour) through four key data points:

- » **Open (O):** The price when the candle period begins.
- » **High (H):** The absolute highest price reached during the period (the top wick).
- » **Low (L):** The absolute lowest price reached during the period (the bottom wick).
- » **Close (C):** The final price when the candle period ends.

Decoding OHLC/OLHC Candle Anatomy



By the end of this thread, you will understand the anatomy of a candle and how to fully capitalize on OHLC/OLHC.



Buyers in Control: **Bullish Candle**



Green Means Momentum

A Bullish (Green) candle forms when the **Closing price is higher than the Opening price**.

- » **The Story:** Bulls (buyers) entered the market aggressively, pushing prices up from the open.
- » **Body & Wicks:** The solid green block shows the distance between open and close, while wicks show the intra-period tug-of-war.
- » **Market Sentiment:** Indicates strong buying pressure and upward momentum.

Sellers Take Charge: Bearish Candle

A Bearish (Red) candle forms when the **Closing price is lower than the Opening price**.

The Story: Bears (sellers) took control right from the opening bell or overwhelmed buyers later in the session, dragging prices downward.

Market Sentiment: Indicates profit-taking, selling pressure, and reigning market fear. Essential for timing short trades or exits!



The Standstill: Doji Pattern

Open Equals Close

A Doji forms when a stock's Open and Close prices are virtually identical, resulting in a microscopic body with long upper and lower wicks.

Total Indecision: Neither buyers nor sellers could secure a victory during the entire session, creating a market stalemate.

Reversal Warning

When a Doji appears after a prolonged uptrend or downtrend, it often signals that the prevailing momentum is exhausted.

Pro Tip: Never trade a Doji in isolation. Always wait for confirmation from the next candle before changing your bias!

The Bullish Reversal: **Hammer**



Smashing the Downtrend

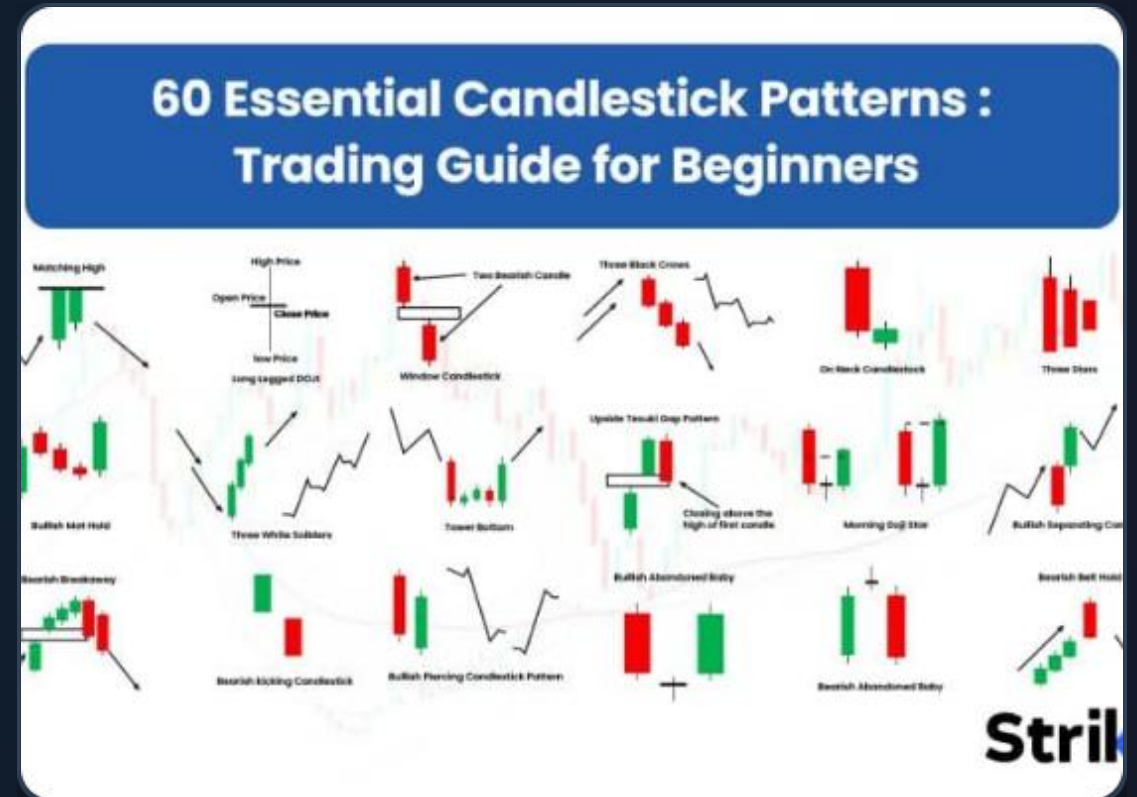
The Hammer is a powerful bullish reversal pattern that appears at the bottom of a downtrend.

- » **Anatomy:** A small real body at the top with a long lower wick (at least 2x the body size) and little to no upper wick.
- » **The Psychology:** Bears drove prices sharply lower during the session, but massive buying pressure emerged at the lows, forcing prices right back up.

The Bearish Reversal: **Shooting Star**

The Shooting Star is a bearish reversal pattern that appears at the top of an uptrend, warning of an impending market top.

- » **Anatomy:** A small body near the bottom with a long upper wick (at least 2x the body) and little to no lower wick.
- » **The Psychology:** Bulls pushed prices aggressively higher at open, but sellers stepped in with heavy force by the close, erasing all gains.
- » **Actionable Signal:** Often prompts swing traders to tighten stop losses or take profits off the table.



Great Job on Day 22!

Tomorrow: Day 23 - Support & Resistance.

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